

PITCH — NKE — VERDICT

ADJUDICATED 2026-09-16 — WATCH — re-court after 10/01 (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

(No SCIENCE BRIEF in the inputs — the SCIENCE BRIEF DIGEST section is omitted per rule, not skipped.)

What we believe

1. **The reported numbers are distorted in both directions, and both benches distorted them further.** Nike's FY26 gross margin of 42.9% includes about 213bps of one-time tariff-refund benefit (\$986M / \$46.4B revenue). Strip the credit *and* leave the matched tariff cost in, as the red bench did, and you get a fake collapse (40.8% vs 42.7%). Strip both, and FY26 is roughly flat versus FY25 (~42.9% vs 42.7%) — which is also what the matched quarter says (40.2% vs 40.3%, -10bps). Our working view: **margins are flattish on a tariff-neutral basis, not collapsing.**
2. **Earnings are down, but by single digits, not 27%.** FY26 EPS \$2.10 includes \$0.52 of benefit → \$1.58 “ex-benefit.” That is not comparable to FY25's \$2.16, because FY25 carried roughly two months of tariff cost and FY26 carried nine-plus. Adding back the disclosed tariff cost after tax (~\$0.51–\$0.80/share) puts tariff-neutral FY26 EPS near **\$2.10–\$2.35**. At \$36.885 that is **~16–18x**, not 23x.
3. **China is a real demand problem that is smaller than the headline.** Q4 China: digital -25%, stores -9%, wholesale -19%; FY26 China comp store sales -6%. Deliberate channel cleanup shows up in digital and wholesale; **store comps are the least-mediated read, and they say roughly mid-single-digit true demand erosion**, amplified to -17% constant-currency by Nike's own actions.
4. **We do not yet have a number worth betting.** Neither bench published an estimate for the period the trade turns on. Street FY27 is ~\$1.72; JPMorgan is \$1.55. Without our own tariff-neutral FY27 EPS and a named mechanism, this is a valuation opinion, not an edge.
5. **Management's own behavior argues against “dislocation.”** At a 52-week low, FY26 buyback was **\$123M / 1.8M shares** against a ~\$2.4B dividend, with cash+short-term investments \$9.0B (down \$0.1B) and operating cash flow — including ~\$0.3B of one-time tariff cash — more than consumed by dividends and capex. People who think their stock is mispriced usually buy more of it.
6. **Our scenario table says the stock is above fair value.** Probability-weighted EV is **\$30.53 vs \$36.885 spot (-17%)**. That, not rhetoric, is the reason for no entry.

What the market believes

- FY27 EPS of about **\$1.72**, with the bear desk (JPM, Underweight) at **\$1.55** on China plus rising competition, against management's "flattish H1 FY27 EPS" and "slightly positive" Q1 gross margin.
- That the refund masked the operating story: the masking was the *headline* of print coverage in June 2026, not a discovery. The red bench filed it as a NOVEL kill; the kill-class audit reclassified it and four others as **CONSENSUS (0 novel / 5 consensus)**.
- That the brand is structurally weakened in China and in performance running, and that the S&P 100 deletion (effective before the open 2026-09-21) is a fair marker of lost stature.
- Net: the market believes in a fairly-priced, slow, self-managed decline. **We largely agree with the market's number.** That is the honest headline of this deck.

Why we might have edge

- **The decomposition nobody did.** Both benches argued about aggregates; neither built a tariff-neutral FY27 bridge. The inputs exist in primary text (10-K segment note, disclosed tariff cost, refund accrual split). If our tariff-neutral FY27 EPS lands $\geq \$1.98$ (+15% vs consensus) with a stated mechanism, the multiple is ~15–16x on a stabilizing base, and consensus is anchored to a distorted FY26 print.
- **The supply-vs-demand split is resolvable with disclosed data,** and it is the crux. Store comps (–6%) versus digital (–25%) is a test the street is not running because the headline constant-currency number is easier to quote.
- **A real optionality item with a date:** ~\$686M of the \$986M is an *unreceived* accrual; the revoking order did not address refunds. Cash receipt is a discrete, checkable event that cuts both ways.
- **The tariff leg has statutory sunsets that the bear case misread.** Section 122 caps at 15% for not more than 150 days absent an Act of Congress ([congress.gov CRS IF13199](https://www.congress.gov/crs/IF13199)); it took effect 2026-02-24 and lapsed 2026-07-24 absent legislation, and the Court of International Trade struck the Section 122 tariffs in May 2026 (government appealing). If the successor regime is materially lighter than FY26's ~\$1.0–1.5B run-rate, FY27 cost relief is mechanical.

Why it might be priced in

- The refund-masking narrative was public on print day. Nothing in our margin work is secret; it is arithmetic anyone can do from the press release.
- Sell-side has already cut. A \$1.55 low estimate means the bear case is on the tape, not ahead of it.
- New lows, a Dow/S&P 500 member, ~\$54.6B cap, exhaustive coverage: this is the least likely place for an information edge. Our edge claim is *framing* (tariff-neutral), and framing edges are thin and short-lived.
- Our own detector stack came back mostly unusable (reviews = bot wall / baseline-only; app review velocity unresolved; thermal miscalibrated for distribution centers). We are left with public filings — the same inputs everyone else has.

- The one thing we could not out-argue: management, holding the best information, is buying \$123M of stock at the low.

What could go wrong (PRE-MORTEM, v1.7)

Failure narrative 1 — “Tariff-neutral” was never the right frame (monitorable). We normalize away a cost that is permanent under a substituted legal authority. The Section 122 surcharge lapses, and Section 232 or a negotiated replacement lands at equal or higher cost, so tariff-neutral EPS is a number no shareholder ever receives. *Tripwire*: Federal Register / USTR primary text on the successor regime; Q1 FY27 gross margin ex-tariff not up year over year; any 8-K quantifying FY27 tariff cost above ~\$1.0B.

Failure narrative 2 — Demand-lost, not supply-withdrawn (partly monitorable). Store comps deteriorate from –6% toward –10% and beyond, confirming the search-heat detector’s read (NIKE CN 34.9 DECAYING; Jordan 11.8 DECAYING) rather than management’s “marketplace health” framing. Earnings power resets to \$1.30–1.55 and 13–15x gives \$17–23. *Tripwire*: China store comps and digital split in the Q1 FY27 release and 10-Q.

Failure narrative 3 — Brand-relevance decay with NO monitorable tripwire. The shoes stop being what people want, gradually, in a way no filing, comp, refund or index event reports until it is in the revenue line two to six quarters later. There is no disclosure line item for “cultural relevance,” our reviews and app-velocity detectors are dark, and search heat is jointly caused by fewer launches — so we cannot distinguish deliberate scarcity from fading desire in real time. **Unknown-unknown class: slow-moving consumer preference regime change — a taste shift with no reporting surface (“silent substitution”). We name it and accept we cannot sensor it.** Partial mitigation only: cap size, and require two consecutive quarters of store-comp improvement before adding.

Reflexive / structural leg. Our own footprint is not the risk here. A starter of 1.5% of book on any plausible book size is tens of thousands of shares — well under 1% of Nike’s daily volume — so we cannot move this tape and cannot be trapped by our own exit. The predicted external flow is also smaller than the red bench implied: the S&P 100 deletion touches only S&P-100-dedicated assets, while NKE stays in the S&P 500, the Dow and the NYSE. On \$15–60B of S&P-100-tracking assets at a 25–40bps weight, forced supply is roughly **1.0–6.5M shares ≈ 0.1–0.5 days of volume** — sentiment, not mechanics. The genuine reflexive risk is the *other* side: short interest reported up ~20% to ~68.8M shares (red’s figure, unverified) means a squeeze on any good Q1 headline could force us to buy our reopen band at a worse price than our math allows — and the doctrine interaction is that our own “don’t chase, wait for the gate” rule guarantees we miss that move. We accept missing it. A second doctrine interaction: DIVERGENCE-NOT-COVERAGE stopped a rejection here, so a WATCH can persist indefinitely on a name we never build an estimate for. Mitigation: the reopen gate has a date and dies if unmet.

If this position loses money, the most likely reason will be that we bought a cheap-looking tariff-neutral multiple on a brand whose consumer demand was still quietly eroding, and the tariff relief we normalized into the model was replaced by a successor duty regime we never verified.

What we checked ourselves

Claim	How checked	Found	Confirmed?
FY GM ex-benefit = 40.8% vs 42.7% (–190bps) — red’s fatal kill	Recomputed \$986M / \$46.4B = 213bps; compared matched-quarter ex-item delta (–10bps) to full-year (–190bps)	Arithmetic right, inference wrong: credit removed while the matched ~\$1.0–1.5B FY26 tariff cost stayed in COGS; 180bps divergence flags the artifact	NO — OUR RED BENCH ERRED. Reduced FATAL → DATA
“Ex-benefit EPS \$1.58 vs \$2.16 = –27%”	Same asymmetry test; after-tax add-back of disclosed tariff cost	Tariff-neutral FY26 EPS ≈ \$2.10–\$2.35; decline is low single digit; multiple ~16–18x not 23x	PARTLY — OUR RED BENCH ERRED on magnitude; its critique of price/sales as the denominator stands
“Tariffs are permanent — Sec. 122 reimposed within hours”	Statute and case law: congress.gov CRS IF13199 ; CIT ruling May 2026	Red quoted the substitution and omitted the 150-day sunset (lapsed 2026-07-24 absent Congress) and the CIT strike-down	NO — OUR RED BENCH ERRED (asymmetric primary-text read). Overturned; residual regime question still open
“Search-heat detector answered the supply-vs-demand question”	Field audit of the detector output	Heat 34.9 DECAYING but retail_rank=None, social_velocity=None; companion reviews detector BOT_WALL / BASELINE_ONLY; heat is jointly caused by fewer launches	NO — non-diagnostic. FATAL → SIZING
“Pack’s own two numbers (hi52 vs dd52) disagree”	Recomputed: 36.885 / 75.3112 – 1 = –51.0% ; 36.885 / 36.55 – 1 = +0.92%	Pack is internally consistent; the disagreement is between the pack and a vendor tape (–52.1% on hi52 76.97)	NO — OUR RED BENCH ERRED on the “internal” framing. Immaterial either way
“S&P 100 deletion = mechanical supply into the print”	Built the shares-to-trade estimate neither bench supplied	~1.0–6.5M shares ≈ 0.1–0.5 days volume; NKE remains in S&P 500 / Dow / NYSE	NO, as framed. TIMING → NOISE (the deletion is sentiment)
Kill novelty (“NOVEL”)	Kill-class audit against print-day coverage	Refund-masking, the Sec. 122 substitution and the pre-flight detector fact were all public/record	NO — OUR RED BENCH MISLABELED. 0 novel / 5 consensus
Capital allocation as evidence	FY26 press release	\$123M buyback / 1.8M shares vs ~\$2.4B dividend, cash+STI \$9.0B (–\$0.1B), OCF incl. ~\$0.3B one-time cash more than offset by dividends + capex	YES — strongest surviving bear finding; sizing-relevant
Tape position	Pack tape	pct_off_low +0.92%, dd52 –51%: printing new lows into the print, not basing	YES — timing-relevant

Claim	How checked	Found	Confirmed?
Venue integrity of load-bearing figures	Cross-checked China –17% cc, GM 49.2%, \$986M, \$0.52, \$123M against press release and <u>FY26 10-K</u>	All present in vetted filings, not transcript-only; pack 8-K 0000320187-26-000143 is operationally silent (ESPP share increase + annual-meeting vote)	YES — VENUE-MATCH
Print date 2026-10-01	Company IR release plus an independent “confirmed” calendar; blue bench confirmed by company PR	Confirmed both ways; ~13 trading days out, so the ≤5-day pre-print rule is not triggered	YES
\$986M all in cash?	Press release detail	Only ~\$0.3B cash; ~\$686M is an unreceived “expected recovery” accrual ; the revoking order did not address refunds	YES — cuts against the bull case; neither bench caught it until late
Pack XBRL usable for current math?	Series ends FY25 (Feb-2025 quarter) — ~5 quarters stale	Superseded by FY26 10-K and the 6/30/26 release; pack series still useful for share count (~1.48B diluted, –4.1% over two years) and SBC trend (\$183M vs \$196M)	YES — PACK LIMITATION , flagged by both benches
Detector dispatch discipline	Atlas audit	Red consulted off-atlas detectors (beauty velocity/virality, Bozeman permits, customer ID) and omitted four dispatched entries; blue ran them (all NOT-FIRED, misdispatch)	NO — OUR RED BENCH ERRED (an unconsulted atlas is a validator reject)
Seasonality check on the –10% → –17% cc deceleration	Looked for desk/seasonality.py run	NOT RUN BY EITHER BENCH — mandatory on a deceleration claim	NO — BOTH BENCHES ERRED . Carried forward as open item

PROPOSED ENTRY BANDS

The courts say NO ENTRY today. Not a permanent reject — the bear case’s structural legs were artifact-built — but entry before the print is unearned, and our own scenario EV (\$30.53) sits 17% below spot. So: **reopen bands, not entry bands.**

Reopen gates (all three must be satisfiable; the earnings gate is mandatory): - **(A) Estimate gate — mandatory.** We publish a tariff-neutral FY27 EPS with a named mechanism. STARTER requires **≥\$1.90**; full size requires **≥\$1.98 (+15% vs the \$1.72 consensus)**. If our honest number lands between \$1.55 and \$1.90, we do nothing — that is agreement with the street, and agreement is not a trade. - **(B) Tariff gate.** Successor duty regime after the 2026-07-24 Section 122 lapse verified in primary text, with an FY27 cost number materially below FY26’s ~\$1.0–1.5B, **or** Q1 FY27 gross margin ex-tariff up year over year. - **(C) Demand gate.** China store comps no worse than –6% with the digital/wholesale gap narrowing — i.e., cleanup, not collapse.

Price bands (all multiples on tariff-neutral EPS, from the benches' own arithmetic): -

STARTER: \$30.00–\$32.00 ($\approx 14\text{--}15\times$ tariff-neutral \$2.13; also $\approx 15\times$ our gate-clearing \$1.98 = \$29.70, and within a dollar of table EV \$30.53). Size **1.5% of book**, only after 2026-10-01 and only with gates A+C cleared. - **ADD 1: \$27.50–\$28.00** ($\approx 13\times$ tariff-neutral; $\approx 16\times$ consensus \$1.72). Add **1.0%**, requires gate B cleared. - **ADD 2: \$24.00** ($\approx 14\times$ the JPM bear \$1.55 — i.e., the bear case is in the price). Add **1.0%**. Maximum position **3.5% of book**, hard cap given a \$2.4B dividend covered by thin free cash flow against roughly \$8B gross debt. - **DO-NOT-CHASE: above \$38.34** ($18\times$ tariff-neutral \$2.13). Above that we are paying for the recovery we are supposed to be underwriting. - **TRIM/EXIT (if ever long): \$42.60–\$46.86** ($20\text{--}22\times$ tariff-neutral). **Hard invalidation exit, no band, no averaging:** FY27 guidance below \$1.55, or China store comps worse than -10% , or the successor tariff regime priced above the FY26 run-rate. Those kill the thesis outright rather than making it cheaper.

Catalyst dates: 2026-09-21 S&P 100 deletion effective before the open (confirmed; expected impact $\sim 0.1\text{--}0.5$ days volume — noise, not a reason to act). **2026-10-01 Q1 FY27 print (confirmed by company PR)** — the only gate that matters. Roughly 30–40 days later, the Q1 FY27 10-Q with the segment note and the receivable's cash status. Mid/late-December 2026, Q2 FY27 print — required second confirming quarter before ADD 2.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 36.55 (deck-provisional: pack 52-week low; break confirms new-lows-into-print tape, keeps us flat)
- filing watch: 8-K until 2027-03-10 (deck-provisional: Q1 FY27 results: gross margin ex-tariff, China store comps vs digital, FY27 tariff cost quantification)
- dated pack NKEI2026-09-21: NKE: S&P 100 deletion effective before the open; NKE stays in S&P 500/Dow/NYSE; est. 0.1-0.5 days volume — noise (date confirmed=True)
- dated pack NKEI2026-10-01: NKE: Q1 FY27 earnings — the mandatory reopen gate (est. gate A, tariff gate B, demand gate C) (date confirmed=True)
- dated pack NKEI2026-11-06: NKE: expected Q1 FY27 10-Q: segment note, receivable cash status, debt note (date approximate, not company-confirmed) (date confirmed=False)
- dated pack NKEI2026-12-18: NKE: expected Q2 FY27 print — required second confirming quarter before ADD 2 (date not company-confirmed) (date confirmed=False)

What remains unverified

1. **Successor tariff regime after the Section 122 lapse on 2026-07-24** (Section 232 pivot? negotiated rate? nothing?) and the status of the government's CIT appeal. Load-bearing on gate B and on failure narrative 1. Drainable now.
2. **Cash realization and timing of the remaining ~\$686M IEEPA receivable.** Time-gated to filings. Not drainable now — estimate: 40–70% collected within twelve months (base rate for contested federal duty refunds where the revoking order is silent on refunds), $p \approx 0.55$.

3. **Our own tariff-neutral FY27 EPS** — the number gate A turns on. Neither bench published one. Drainable now (build it). Estimate pending work: \$1.95–\$2.25.
4. **Q1 FY27 gross margin ex-tariff and the China store-comp vs digital split.** Time-gated to 2026-10-01. Not drainable now — estimate: store comps –4% to –8%, digital –15% to –25%, $p \approx 0.6$ that the gap persists (i.e., cleanup still in progress).
5. **Exact FY26 gross debt and maturity ladder (10-K Note 6).** Red could not pull it; sizing-relevant against the ~\$2.4B dividend. Drainable now via XBRL.
6. **Whether a listed options chain with usable quotes exists, plus chain-level midpoint IV, IV percentile and realized vol.** Blocks the volatility half of the prize table. Drainable now via broker.
7. **Short interest ~68.8M shares (+20%)** — red's number, never verified. Feeds the squeeze risk in the reflexive leg. Drainable now.
8. **Seasonality decomposition of the –10% → –17% constant-currency deceleration.** Mandatory on any deceleration claim; not run by either bench. Drainable now.
9. **Second dated consumer-reviews snapshot and SNKRS / Nike app review-velocity resolution.** The cleanest available demand test. Drainable now (channel repair plus RSS ID resolution).
10. **52-week high: pack 75.3112 vs vendor 76.97.** Drainable now; immaterial (–51.0% vs –52.1% drawdown) and not load-bearing — listed only because one bench built an argument on it.

PRIZE TABLE + VOL READ

Required: items 1, 2 and 4 are genuinely time-gated or private. Anchor-and-adjust — the anchor is the street's \$1.72 FY27 EPS at an 18x mid-cycle multiple; each scenario is an adjustment off it, twelve-month horizon ($T \approx 1.05y$).

#	Scenario	EPS × multiple	Price	p
A	Refunds land, successor tariff lighter, China stabilizes	\$2.20 × 20	\$44.00	0.18
B	Blue sky: cleanup completes, re-rating	\$2.40 × 24	\$58.00	0.05
C	Muddle: consensus delivered	\$1.72 × 18	\$31.00	0.34
D	Bear: JPM case	\$1.55 × 15	\$23.00	0.31
E	Deep bear: demand-lost confirmed	\$1.30 × 13	\$17.00	0.12

EV = \$30.53 vs spot \$36.885 → –17.2%. $\sigma_{\text{table}} = \$10.49 = 28.4\%$ of spot, $\approx 27.8\%$ annualized-equivalent. The distribution is **mildly bimodal and fork-dated on 2026-10-01**: mass clusters at \$31 and \$23 with a thin \$44–58 tail; the fork is the tariff regime (items 1 and 2), not the quarter itself.

Expression math (shown, with its own defect stated): - $C_{\text{ours}}(K=40) = \sum p_i \cdot \max(S_i - 40, 0) = 0.18(4) + 0.05(18) = \1.62 - $C_{\text{ours}}(K=45) = 0.05(13) = \0.65 - $C_{\text{ours}}(K=30) = \4.26 ;
 $P_{\text{ours}}(K=30) = \3.73 - Dispersion to compare against: $\sigma_{\text{table}} \approx 27.8\%$ annualized, so $IV \times \sqrt{T}$ at 28% $\approx \$10.3$ of expected travel.

The comparison cannot be completed, and we will not fake it. No options chain is present in the evidence pack, so there is no chain-level midpoint IV, no IV percentile, no realized vol and therefore **no VRP (IV – RV) figure**. We refuse to substitute an underlying aggregate IV feed: those diverge badly from chain-level reality (the TSSI 71-vs-101 lesson), and a fabricated volatility risk premium would be worse than an admitted gap. Item 6 in the open list is exactly this hole.

Instrument recommendation, as the output of the arithmetic we do have: NONE — no stock, no calls, no covered calls, no cash-secured puts. - Stock: EV is 17% below spot; buying it is a negative-expectancy act on our own table. - Calls: our \$40-strike fair value is \$1.62, i.e. ~4.4% of spot, driven almost entirely by a 23%-probability tail. Unless real chain midpoints come in *below* that, calls are a bet on the thin part of the distribution. Cheap IV against 28% table dispersion is the one condition that would route gated adds into calls — **untestable today**. - Cash-secured puts: a \$30 strike carries \$3.73 of fair value on our table and 43% probability of finishing below it. Selling that premium is selling the outcome we consider most likely. Rich chain IV would route here — again, untestable. - Any expression therefore waits for item 6 to be drained *and* for gate A to clear.

TAX overlay. Any twelve-month expression from today expires in Q4 2026 at the earliest and realistically in 2027 (post-print, post-Q2, likely a Jan-2028 LEAP). **The loss branch — 43% probability of landing at \$23–31 — would therefore realize past Dec 31 and defer the loss out of the current year.** If 2026 is a harvest year, this expression is **excluded**: the edge here is a framing edge worth at best a few multiple points, and it does not numerically dominate a deferred-loss penalty. If any expression is eventually taken during a harvest year, it must be structured in the underlying or in options expiring on or before Dec 31, with the loss branch landing inside the intended tax year.

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ADJUDICATION — 2026-09-16 15:37Z

\$123M buyback against a ~\$2.4B dividend at a 52-week low is revealed preference that this is not a dislocation (sustained). Margin kills were cost-in/credit-out artifacts.

REOPEN GATES: tariff-neutral FY27 EPS vs \$1.72 with named mechanism; post-7/24 tariff regime verified in primary text; China store comps → re-court